AGA KHAN UNIVERSITY EXAMINATION BOARD

HIGHER SECONDARY SCHOOL CERTIFICATE

CLASS XI

ANNUAL EXAMINATIONS 2022

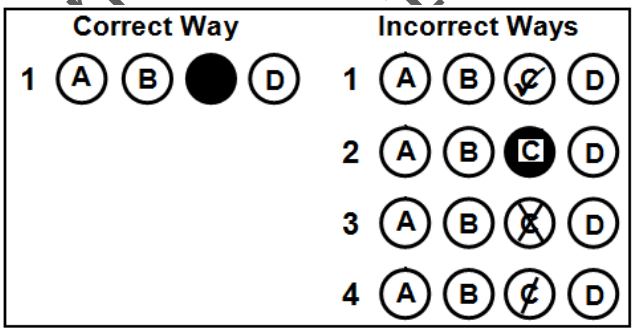
Principles of Commerce

Time: 1 hour 40 minutes Marks: 50

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INSTRUCTIONS

1. Read each question carefully.
2. Answer the questions on the separate answer sheet provided. DO NOT write your answers on the question paper.
3. There are 100 answer numbers on the answer sheet. Use answer numbers 1 to 50 only.
4. In each question, there are four choices A, B, C, D. Choose ONE. On the answer grid, black out the circle for your choice with a pencil as shown below.



Candidate's Signature

5. If you want to change your answer, ERASE the first answer completely with a rubber, before blacking out a new circle.
6. DO NOT write anything in the answer grid. The computer only records what is in the circles.
7. The marks obtained on the 50 MCQs will be equated to the total marks of 75 for the theory examination results.
8. You may use a scientific calculator if you wish.

1. Anees runs a real estate agency. He facilitates sales and purchase of property.

   The activity performed by Anees in the given situation is classified as

   A. business and productive activity.
   B. profession and productive activity.
   C. business and non-productive activity.
   D. profession and non-productive activity.

2. Pakistan Citizen Portal is an integrated citizen's grievance address system connecting all government organisations both at federal and provincial levels. This system will serve as a carrier of complaints to their respective offices across Pakistan. Eventually, the citizen's feedback will be linked to an officer's performance and promotion.

   The given description describes the e-commerce business module of

   A. business-to-business (B2B).
   B. business-to-government (administration) (B2G).
   C. government (administration)-to-business (G2B).
   D. government (administration)-to-citizen (G2C).

3. Kaleem owns a marble and a granite workshop. He deals in the supply of natural marble, sandstone and limestone for household purposes.

   In the given situation, the economic activity performed by Kaleem will be classified as

   A. primary.
   B. quaternary.
   C. secondary.
   D. tertiary.

4. Anna, an entrepreneur, operates a food business. She has hired cooks, delivery boys and telephone operators. She delivers tin packed foods to offices and houses on a daily basis.

   With reference to the given economic activity and scale, her business is classified as

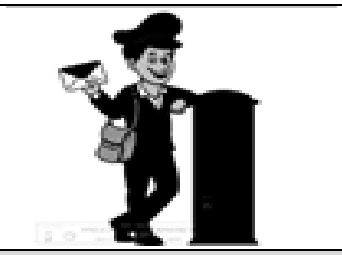
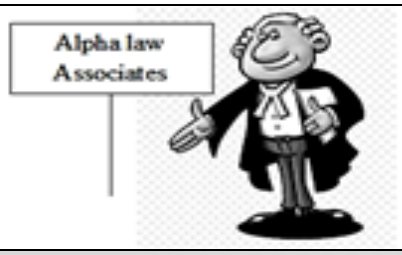
	Scale	Economic Activity
A	small scale	primary
B	large scale	secondary
C	small scale	secondary
D	large scale	primary

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5. All of the following actions are classified as non-economic activities EXCEPT for a person

   A. cleaning his residential rain drainage line.
   B. creating public awareness by painting the walls of his street.
   C. growing vegetables in the backyard of his house to support his livelihood.
   D. voluntarily collecting funds for helping poor people.

6. Which of the following images depicts a 'public service'?

	
A	**B**
	
C	**D**

7. Ashraf industries announced that they will provide food services to their female staff on a fixed subsidised rate.

   This step will IMMEDIATELY raise their operational cost and will raise the issue of

   A. employees motivation.
   B. employees job security.
   C. gender discrimination.
   D. staff loyalty.

8. The minimum number of directors in a private limited company should be

   A. 2
   B. 3
   C. 7
   D. 10

9. Which of the following is an example of a sole owner retail business?

   A. Alam Radio Traders
   B. Alpha Motors Limited
   C. Sonic Audit Firm
   D. Two Brothers Estate Agents

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10. The MAJOR demerit of a cooperative society is that there is/ are

A. a limited capital.
B. a limited liability.
C. no speculations.
D. a tax wavier.

11. Halima is a partner in a firm. She is not involved in the day to day activities of the business but only enjoys the benefits of the partnership.

With reference to types of partners, Halima will be classified as a/ an

A. active partner.
B. dormant partner.
C. minor partner.
D. nominal partner.

12. Which of the following is the CORRECT sequence of voluntary winding up of a joint stock company?

	I	II	III	IV
A	Publication of public notice	Appointment of liquidator	Final meeting and report of liquidator	Reports to registrar and final dissolution
B	Appointment of liquidator	Publication of public notice	Reports to registrar and final dissolution	Final meeting and report of liquidator
C	Final meeting and report of liquidator	Reports to registrar and final dissolution	Publication of public notice	Appointment of liquidator
D	Reports to registrar and final dissolution	Final meeting and report of liquidator	Appointment of liquidator	Publication of public notice

13. All of the following conditions exemplify the reconstitution of partnership firms EXCEPT for the

A. admission or retirement of a partner.
B. change in profit and loss ratio.
C. death or insolvency of a partner.
D. extension and contraction of a business.

14. All of the following are the ways through which a new partner can be admitted in a partnership business EXCEPT by

A. investing directly in the partnership firm.
B. purchasing proportion of share from the existing partners.
C. the order of the court.
D. the transfer of one's share to his/ her siblings or other family members.

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15. ABC Company received share applications for 30,000 shares. The book value of a share was Rs 10, which were issued at par. The company finalised the allotment of 25,000 shares and refunded the excess amount via bank.

In the given scenario, the allotted shares by the business is generally known as

A. authorized shares.
B. paid-up shares.
C. preference shares.
D. non-redeemable shares.

16. Which of the following sole proprietorship businesses will require a license for its operations?

A. Audit firm
B. Departmental store
C. Legal consultancy firm
D. Medical store

17. The document which states the rules and regulations of how a company is being run, governed and owned internally, is known as the

A. articles of association.
B. certificate of commencement.
C. certificate of incorporation.
D. debenture certificate.

18. Following are the features of a document:

- It contains all the fundamental information which are required for the incorporation of the company.
- It is subordinate to the Companies Act.
- It contains five clauses. Alterations can be done in the clauses, after passing a Special Resolution (SR) in the Annual General Meeting (AGM) along with a prior approval from the registrar.

The given features are of the

A. prospectus of the company.
B. shares certificate.
C. memorandum of association.
D. statement in lieu of prospectus.

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19. A group of individuals is planning to initiate its own business with

- little amount of investment.
- limited awareness of the market.
- no experience of managing things.
- good understanding among them.

The MOST suitable form of business that the individuals can opt for is

A. cooperation (cooperative).
B. partnership.
C. private company.
D. sole proprietorship.

20. Following are the demerits of a business:

- Unlimited liability
- Limited financial resources in business
- Lack of continuity of transactions
- Limited capacity of individual
- Unavailability of business advices and mutual discussion

With reference to the given demerits, this form of business can be identified as

A. cooperation (cooperative).
B. partnership.
C. private company.
D. sole proprietorship.

21. With reference to 4 P's of marketing, the element that highlights the product's need and the price the consumer would pay against it is termed as

A. place.
B. product.
C. packaging.
D. promotion.

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22. The given advertisement is classified as



A. collective.
B. competitive.
C. informative.
D. content base.

23. Al-Assar shoes has launched a new range of sports footwear. The tagged price of the footwear includes the specific mark up on each item.

The pricing strategy that Al-Assar shoes has opted for can be classified as

A. competitive.
B. cost plus.
C. promotional.
D. skimming.

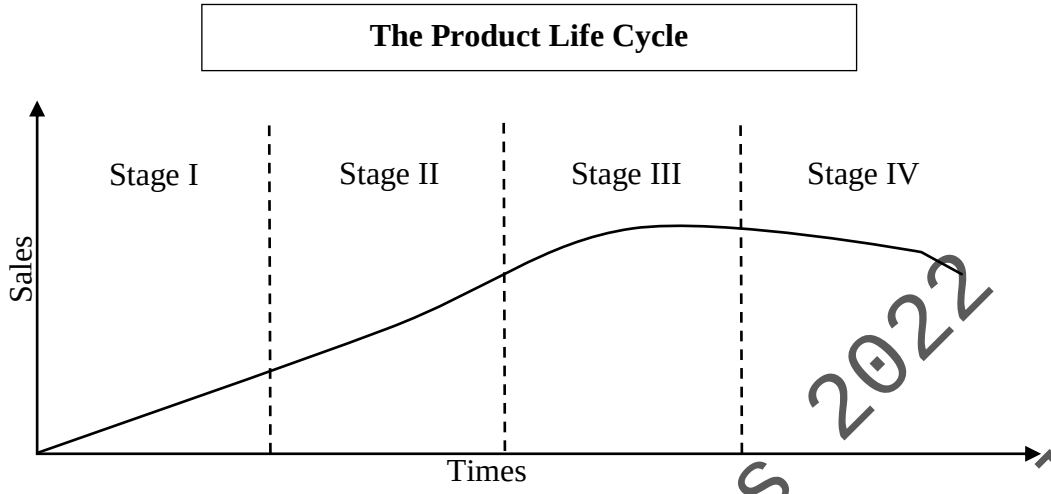
24. For the given product, the CORRECT channel of distribution would be



A. manufacturer → retailer.
B. manufacturer → sales agent (distributor) → consumer.
C. manufacturer → wholesaler → retailer → consumer.
D. manufacturer → sales agent → wholesaler → retailer → consumer.

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25. The correct labelling of the given product life cycle is



	Stage I	Stage II	Stage III	Stage IV
A	decline	maturity	growth	introduction
B	introduction	maturity	growth	decline
C	introduction	growth	maturity	decline
D	introduction	decline	growth	maturity

26. Amir established a small honey bee farm at the backyard of his house. He has limited productivity and packaging facility. He would like to market the honey on a small scale.

The MOST convenient and cost effective mode of advertising that should be adopted to market the given product is/ are

A. billboard and banner.
B. the distribution of pamphlets in a nearby mosque and park.
C. Facebook marketing.
D. the printing of an advertisement in the national newspaper.

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27. The pricing strategy depicted in the given image is



A. competitive.
B. cost plus.
C. promotional.
D. psychological.

28. ABC superstore is a small store that would like to attract customers of the nearby area.

With reference to the given situation, the MOST cost effective way of advertisement would be

A. an advertisement in the local newspaper.
B. a direct e-mail to the prospective customers.
C. an outdoor marketing on a truck or vehicle.
D. a television commercial on the national network.

29. Which of the following shows the CORRECT differences between advertising and marketing?

	Advertising	Marketing
A	It initiates the demand and motivates consumption.	It helps the producer to know the needs of the consumer.
B	It has a broad perspective as it covers each and every aspect of production and consumption.	It has a narrow scope and focuses on selling goods.
C	It focuses on product.	It focuses on consumer needs.
D	It requires a long time period to execute.	It starts as product development starts.

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30. Read the following features:

- It measures the operating efficiency and the liquidity of a business.
- It supports daily operations and expenditures and is a significant component of operational liquidity.

The given features describe the concept of

A. equity.
B. fixed capital.
C. investment.
D. working capital.

31. The working capital can be computed through

A. current assets – current liabilities
B. current liabilities – fixed (non-current) assets
C. long-term liabilities – current assets
D. long-term liabilities – fixed (non-current) assets

32. A business collaboration between two parties is based on the principle that one party will be responsible for the capital investment and the other will be responsible for the business operations.

With reference to Islamic finance, the given form of collaboration is classified as

A. *mudarba.*
B. *musharka.*
C. *rabulmal.*
D. *mudarbaha.*

33. The term that is used for insurance in Islamic finance is

A. *qarz-e-hasana.*
B. *amanat.*
C. *riba.*
D. *takaful.*

34. Aleem is an entrepreneur running a well-known fast food restaurant. He is planning to extend his business by opening a branch but for this, he requires long term financing.

The type of business finance BEST suited in the given situation is

A. a bank loan.
B. issuing bonds or debentures.
C. issuing shares.
D. taking bank overdraft.

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35. A warehouse that stores cheese and meat would be

A. bonded.
B. cold storage.
C. cooperative.
D. public.

36. The CHEAPEST means of transportation suited to deliver bulky raw materials from the extraction sites to refineries domestically is

A. airways.
B. railways.
C. roadways.
D. seaways.

37. Generally, insurance is based on the principle of

A. contributing to the economic development of a society.
B. motivating others to adopt a philanthropic approach.
C. providing financial support to the casualties.
D. spreading financial risks evenly among the contributors.

38. A construction company enters into an insurance agreement against the construction of a new building.

As per the agreement, the insurer will reimburse the loss or damage if and only if it is reconstructed from the authorised contractors of the insurer.

After the completion of the new building, a fire breakes out and loss accumulates to Rs 5 lacs, which is then repaired from the authorised contractor.

All of the following principles of insurance are applied in the given situation EXCEPT for

A. contribution.
B. indemnity.
C. insurable interest.
D. utmost good faith.

39. The risk coverage of an insurance policy that is purchased generally for a cargo (containers) starts when the ships leave the port of departure and ends when the ships reach the port of destination.

This insurance policy is known as

A. floating policy.
B. unvalued policy.
C. valued policy.
D. voyage policy.

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40. On the basis of Islamic financing, a fund is created by mutual contribution to safeguard the participants' interest. The fund is based on the principles of brotherhood and solidarity, and informs the participants about the possible losses from the business risk.

The given description is about the Islamic financing mode of

A. *Rabulmal.*
B. *Mudarbaha.*
C. *Musharika.*
D. *Takaful.*

41. Which of the following is classified as an uninsurable risk for a business?

	
A	B
	
C	D

42. Chappal House manufactures rubber *chappals* or slippers and wants to supply its products to the small cities of Pakistan.

The cheapest and the MOST efficient mode of transportation the business can opt is through a/ an

A. air cargo.
B. postal services.
C. goods transport company.
D. railway carriage.

43. The other name for a claim letter is a/ an

A. complaint letter.
B. dunning letter.
C. inquiry letter.
D. persuasive letter.

44. The part of a business letter that is used to formally greet the receiver is known as the

A. letterhead.
B. main body.
C. salutation.
D. subject line.

45. The given extract of a letter has been written by Aamna to Wasif.

"Thank you, for your interest in our electronic items. In response to your questions in your last letter, I am attaching a copy of the catalogue of the items. Note that all the items listed in the catalogue are available and will be delivered to you within four working days after receiving the receipt of your order".

With reference to types of letter, the given extract will be classified as a/ an

A. solicited inquiry letter.
B. solicited reply to an inquiry letter.
C. unsolicited inquiry letter.
D. unsolicited reply to an inquiry letter.

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46. Read the given business e-mail.

Dear Sales Department,

First of all, I, Qasim Ali, purchasing officer of ABS Company, Mr Azhar Ali from YZS Company, your current customer referred us your name. he also referred to your high-quality frozen fruits and beverage ingredients.

Our company, ABS Company is a beverage manufacturer. I would like to express our interest in doing business with you.

We are broadening our product range. Because of that, we are looking for new suppliers. Your product is also one of our main ingredients.

Hence, we would like to know about the Frozen Mango Puree Product. We have listed below the details we need.

- *The frozen mango puree's information: origin, manufacturing process, nutritional facts, and quality standards*
- *The frozen mango puree's wholesale price list*

We prefer you send the information mentioned above in PDF format. It would be great for us to receive the package within 10 days as it will help maintain our process rate.

Thank you for your time and I look forward to hearing from you.

Best Regards,
Qasim Ali

The given email is classified as a/ an

A. adjustment e-mail.
B. dunning e-mail.
C. purchase enquiry e-mail.
D. sales enquiry e-mail.

47. Read the given features:

- date, signature and subject-line begins at the centre
- paragraphs start after 5 spaces
- paragraphs may be separated by a single or double line space

Based on the given features, the letter writing format is identified as a/ an

A. administrative management style.
B. hanging paragraph (traditional style).
C. modified block style.
D. semi-indented style.

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48. Eeman is starting a new business in Karachi. In order to inform people about her business, she is writing letters to the people living nearby.

The letter written by Eeman is commonly known as a/ an

A. circular letter.
B. collection letter.
C. indent letter.
D. sales letter.

49. Which of the following phrases is NOT APPROPRIATE to use while concluding a business letter?

A. Yours faithfully
B. Yours obediently
C. Yours sincerely
D. Yours truly

50. Alpha Security has introduced a new electronic machine to be used for their employee screening. As a manager of Bashir Sons, you are writing a letter to the Director of Alpha Security to collect information about this technology.

In this case, the letter written by you will be known as a/ an

A. sales letter.
B. order letter.
C. inquiry letter.
D. adjustment letter.

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END OF PAPER

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